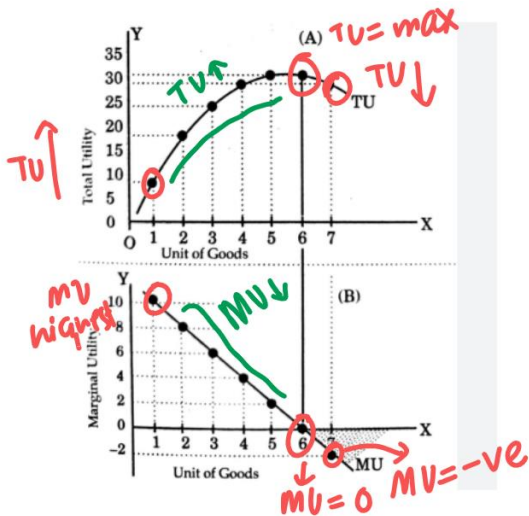


1-B:



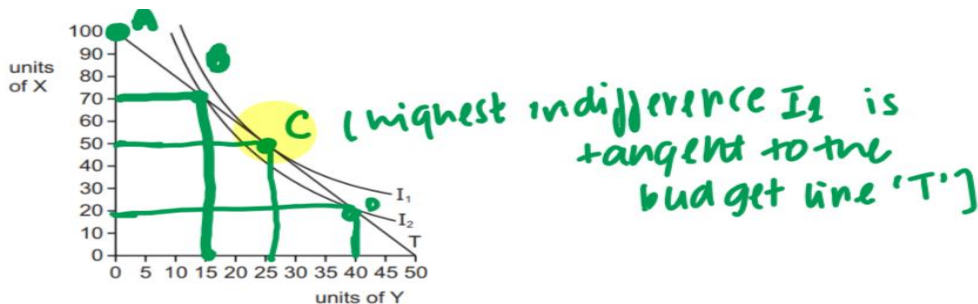
Option B (Correct): If marginal utility (MU) is greater than average utility (AU), this implies that the addition of the next unit increases the average. This relationship holds true in economics just as it does in mathematics: when the marginal is above the average, it pulls the average up.

Option A: This misrepresents diminishing marginal utility. It does not apply to producers. Diminishing marginal utility refers to consumers experiencing decreasing additional satisfaction from consuming one more unit of a good. It has no bearing on the productivity or efficiency of producers.

Option C: The equi-marginal principle states that consumers maximize total utility when the marginal utility per unit of expenditure is equal across all goods: $MU_x/P_x = MU_y/P_y$. It does not suggest that total satisfaction is equal for each good purchased.

Option D: Total utility decreases when MU becomes negative.

2-C:

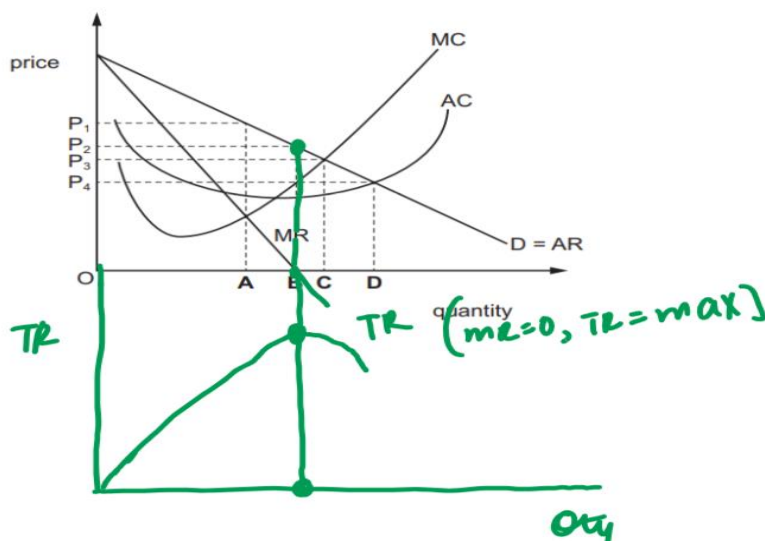


3-A:

Option B: This is too general. While medical help is beneficial, it does not necessarily result in a positive externality unless it impacts third parties.

Option D: A positive externality exists when social benefits exceed social costs, not the reverse. In the presence of positive externalities, **social benefits are higher due to the presence of external benefits as $SB = PB + EB$**

4-B:



Option A: MR is still positive before reaching B, meaning total revenue is still increasing — not yet maximized.

Option C: After point B, MR becomes negative, and thus total revenue starts to fall. Point C would be suboptimal for revenue maximization.

Option D: Further along the curve, MR is more negative, and revenue is clearly falling the worst option for revenue maximization.

5-C:

Option C (Correct): The kinked demand curve model of oligopoly explains that price rigidity occurs due to asymmetric reactions: if one firm raises its price, others don't follow to gain market share.

Option A: Prices are not fixed in a non-collusive oligopoly. Instead, price fixing is done by a cartel.

Option B: Firms in a non-collusive oligopoly differentiate through non-price competition. This means that instead of altering the price levels, they choose to engage in product differentiation; one way this can be done is through advertising. Therefore, firms are unlikely to mutually agree on a certain level of advertising.

Option D: It's irrational for firms in a non-collusive oligopoly to raise prices when competitors lower theirs — it would lead to a loss in market share.

6-C:

Net Social Benefit = SB-SC

A net social benefit exists when total social benefit exceeds total social cost. This means the **difference between the two** (social benefit - social cost) is **positive**. This is fundamental to **cost-benefit analysis** used in evaluating public sector projects or net social benefits.

7-B

Option B (Correct): The **contestability theory** states that for a market to be truly contestable, **there must be free and costless entry and exit** due to lack of barriers to entry. This assumption ensures that even a monopoly behaves competitively due to the threat of potential entry, keeping prices and profits closer to competitive levels.

Option A: A large number of firms isn't necessary. A monopolistic market structure can be contestable if barriers are low.

Option C: In a contestable market, firms can make abnormal profits in the short run. But this will attract potential entrants to enter in the long run after having been attracted because of the profits. Consequently, in the **long-run equilibrium**, this will erode the profits due to potential entry.

Option D: Product differentiation typically raises barriers to entry by establishing brand loyalty, making markets **less contestable**.

8-A:

Let us understand the goal of the firm again. The firm aims to produce a **non-profit maximizing level of output, meaning that it should not produce where $MC=MR$.**

Option A: If a firm produces where **marginal cost (MC) = marginal revenue (MR)**, it is **maximizing profit**. This contradicts the aim of management producing at a **non-profit-maximizing** output, hence it “necessarily prevents” that aim.

Option B: Operating price discrimination to **maximize revenue** means that we are producing at a non-profit maximizing output. It doesn’t force profit-maximization.

Option C: Rewarding shareholders over innovators may misallocate resources, but doesn’t necessarily stop a non-profit-maximizing output goal.

Option D: Separation of ownership and control (principal-agent problem) might lead to non-profit-maximization, not prevent it. This is because, managers strive to achieve the objective of revenue maximization.

9-C:

Option C (Correct): When a Dutch chemical firm buys a **UK chemical rival**, it's a form of **horizontal integration** — merger or acquisition between firms in the same industry and at the same stage of production.

Note: This can lead to economies of scale or market power, but the defining feature is **same industry, same level**.

Option A:

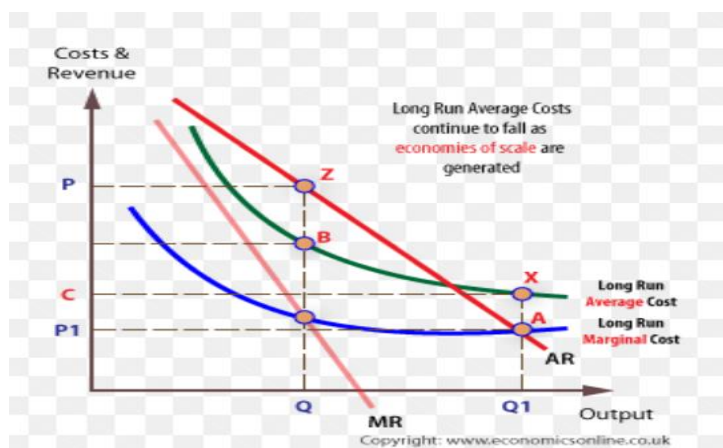
A partnership is a **joint business set up by two or more than two parties**, not a takeover or acquisition. This merger is not a partnership.

Option B: Economies of scale may result **after** the merger, but they’re not guaranteed, nor do they define the type of merger.

Option D: Increased profits are a potential motive, but not a **defining characteristic** of the acquisition.

10-B:

Option B (Correct): A **natural monopoly** arises when one firm can supply the entire market at lower cost than multiple firms, due to **extremely high fixed costs**, which means that average costs will continue to decline over a large volume of output, **indicating substantial potential of economies of scale**. This creates **significant barriers to entry** and leads to a single dominant producer. Classic examples include utilities (e.g., electricity, water). This can be seen below:



Option A: A natural monopoly can earn abnormal profits if it is unregulated. Additionally, it can operate in the private sector as well. Public ownership is a policy choice, not a requirement of being a natural monopoly.

Option C: External economies of scale come from **outside the firm**, not inherent in the natural monopoly. Natural monopolies rely on **internal** economies.

Option D: Natural monopolies generally have **lower** average costs compared to other market structures, due to economies of scale over large outputs.

11-B:

Option B (Correct): A tax on rubbish is a market-based environmental policy intended to internalize the externality (Pigouvian tax). However, it can lead to government failure if the implementation causes unintended consequences such as under-reporting or illegal dumping by firms and households. If the cost of disposing rubbish legally becomes too high, it may incentivize socially undesirable behavior, negating the intended effect of the policy.

Option A: Incentive payments (subsidies) for reducing waste reward positive behavior, and while not without flaws (like misallocation), they are less likely to lead to a distortion or black-market activity compared to punitive taxes.

Option C: Advertising campaigns do not usually lead to government failure since they don't distort prices or incentives in harmful ways.

Option D: Grants for research are long-term and do not affect the behavior of current rubbish generators directly, so they are less prone to government failure.

Note: All other policies are more likely to encourage positive behavior.

12-A:

Option A (Correct): Supporters of nationalized transport systems argue they prioritize social welfare over profit. Privatization, in contrast, may lead firms to **cut unprofitable routes** to maximize profit, resulting in **fewer destinations served**, particularly in rural or low-demand areas.

Option B: Privatization does not guarantee **lower fares**. Without competition or effective regulation, privatized firms may charge more to increase profits.

Option C: Private firms may reduce frequency on less profitable routes, making **more frequent services unlikely**.

Option D: Privatization tends to focus on **cost-cutting and automation**, often leading to **job losses**, not increases in employment.

13-D:

Option D (Correct): The **poverty trap** refers to a situation where increased earnings result in a loss of government benefits that is greater than the increase in income, making households **no better or even worse off** financially. This creates a disincentive to work more.

Option A: The **\$2.15/day** figure is the **poverty line**, which measures poverty, but **not the poverty trap**, which is about marginal effects on income and benefits.

Option B: Spending more than earnings may mean an individual is using up its savings. This does not represent a “poverty trap” situation.

Option C: Rising inflation may erode real incomes, but this is about **real wage decline**, not benefit loss due to increased income.

14-B:

Option B (Correct): If demand for a product rises, firms will need to **produce more**, hence requiring more labor. This shifts the **demand for labor curve outward**, based on the principle of **derived demand** — where demand for labor depends on demand for the goods/services it helps produce.

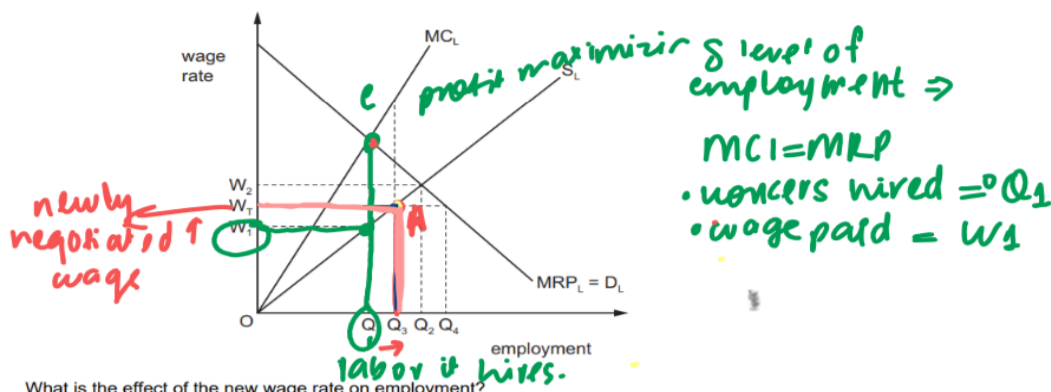
Option A: A decrease in the top rate of income tax affects the **supply of labor**, as it may encourage people to work more, not increasing demand for labor.

Option C: Subsidies reduce production costs, potentially affecting **supply** of the product, but do not automatically increase demand for labor.

Option D: An increase in working population increases the **supply of labor**, not the demand. It shifts the labor supply curve, not the demand curve.

15-C:

15 The diagram shows what happens when the employees of a profit-maximising mono employer form a trade union and successfully negotiate a wage rate of OW_T .



What is the effect of the new wage rate on employment?

- A It falls from OQ_2 to OQ_1 .
- B It falls from OQ_2 to OQ_3 .
- C It rises from OQ_1 to OQ_3 .**
- D It rises from OQ_1 to OQ_4 .

Option C (Correct): In a **monopsony** labor market (a single buyer of labor), the firm pays a lower wage and hires fewer workers. When a **trade union negotiates a higher wage (WT)**, it changes the labor market dynamics. As shown in the diagram, employment **increases from Q1 to Q3**, a case where **union intervention increases both wages and employment**, contrary to classical models.

Option A: Q2 to Q1 would be a reduction in employment, which is **not what the diagram shows** after the union negotiation.

Option B: This path misreads the equilibrium movement and **incorrectly implies** a reduction in employment.

Option D: Q1 to Q4 would suggest even higher employment than feasible given the demand curve (MRPL). The firm's marginal revenue productivity of labor doesn't support hiring that many workers at wage WT.

16-C:

Option C (Correct): One major cause of the 2007–08 global financial crisis was **excessive risk-taking by commercial banks**, including **issuing loans with insufficient security (collateral)** — also known as **sub-prime lending**. These high-risk loans led to defaults and systemic failures. This ties into **moral hazard** (banks taking risks believing they'll be bailed out).

Option A: Being subject to **tight controls** would likely **reduce** the chance of a crisis by restraining reckless credit creation, not cause it.

Option B: Holding reserves above the required reserve ratio will limit risk, rather than increasing it.

Option D: A gap in favor of assets over liabilities (positive net worth) is **financially healthy**, not a crisis risk factor. Problems arise when liabilities exceed assets

17-B: **Option B (Correct):** The **natural rate of unemployment** includes frictional and structural unemployment. A fall in this rate means more people are in work, reducing the need for **unemployment-related government transfers**, such as benefits.

Option A: Government spending on goods and services relates to active fiscal policy which is used to correct demand deficient unemployment, not directly influenced by natural unemployment.

Option C: A decrease in natural rate of unemployment won't necessarily decrease trade union membership.

Option D: Interest rates are set by monetary policy and are used to correct demand-deficient unemployment usually in response to inflation and output gaps, not the natural rate of unemployment.

18-D: **Option D (Correct):** Between 2001 and 2005, **France's total unemployment percentage increased**, whereas **the UK's total unemployment percentage decreased**. This indicates that **the UK was more effective** in managing total unemployment over this period.

This can be seen in the image below.

	France		UK	
	youth unemployment (%)	total unemployment (%)	youth unemployment (%)	total unemployment (%)
2001	19.2	8.7	12.0	5.2
2005	22.1	10.1	12.5	4.8

What can be concluded from the table?

- A** France and the UK experienced the same trends in unemployment.
- B** France had a higher number of unemployed people than the UK.
- C** The UK used a different definition of unemployment from France.
- D** The UK was more successful than France in controlling unemployment.

Total un% ↑
in
France

Total unemployment ↓
fell in UK

Option B: The table gives **percentage rates**, not absolute numbers. We cannot conclude that France had more unemployed individuals without size of labor force.

Option A: The **trends were not the same** — France saw a deterioration while the UK showed some improvements.

Option C: No evidence suggests differing **definitions of unemployment** between the countries. It's not possible to deduce this from the table alone.

19-A:

Option A (Correct): The **Keynesian multiplier** relies on the concept that when people receive extra income, they **spend** a portion of it, which stimulates further income and consumption.

According to the multiplier model, people must not save all of their income and at-least some of it must be spent. Here, even though Average propensity to save is increasing, **there is still a proportion of income that is spent**, which is crucial for the multiplier effect to operate.

Hence, Key A, becomes correct.

Option B: Flexible prices and wages are an **assumption of monetarists**, not Keynesian. Keynesians argue that prices are sticky in the short run.

Option C: Full employment **negates** the usefulness of a multiplier, and it is an assumption of monetarists that there is always full employment in the long-run. The Keynesian multiplier assumes **idle resources** to be mobilized.

Option D: An economy being open or closed is not generally an assumption of the multiplier. However, some simple multiplier models do assume closed economies to maximize the impact of the multiplier. Open economies **weaken** the multiplier effect, as some spending leaks out through **imports**. A **closed economy** would have a stronger multiplier impact.

20-A:

Option A: In 2019, Germany had **deflation of -1.9%** and **relatively high unemployment 6.4%**. This **contradicts** the expected trade-off **most severely**.

Option B: 2020 shows a similar mismatch, but the deflation is less pronounced (−1.6%) and unemployment slightly lower (6.1%) than 2019 — less contradiction than in 2019.

Option C: Inflation is positive (2.7%) and unemployment slightly lower than other options (5.7%)

Option D: Inflation is positive (2.6%) and unemployment is the lowest (5.2%)

- 20 The table shows the relationship between inflation and unemployment in Germany from 2019 to 2022.

	2019	2020	2021	2022
inflation: annual variation (%)	-1.9	-1.6	2.7	2.6
unemployment rate (%)	6.4	6.1	5.7	5.2

Some theories argue that inflation rates are at their lowest when the rate of unemployment is low.

Which year contradicts this expectation to the greatest extent?

- A** 2019 **B** 2020 **C** 2021 **D** 2022

lowest inflation
lowest

lowest inflation

highest Un

This line is suggesting a +ve relationship b/w inflation & unemployment

21-D:

Option D (Correct): The diagram shows a movement from **M** → **K** → **L**, consistent with **Monetarist theory**. Initially, a **fiscal stimulus** (e.g., increased government spending) **increases Aggregate demand** and reduces unemployment from the natural rate (NRU) to U1 and increases inflation from 0 to P1 (point K on SRPC1).

Over time, **inflation expectations adjust**, and due to a rise in wage costs, **Aggregate supply decreases**, shifting the short-run Phillips curve to the right to SRPC2, representing a rise in unemployment to the Natural Rate of Unemployment.

The economy then moves to point **L-back at NRU**. This reflects the **Monetarist argument** that attempts to exploit the Phillips Curve trade-off are futile in the long run; the economy always returns to NRU, but with **permanently higher inflation**.

Option A:

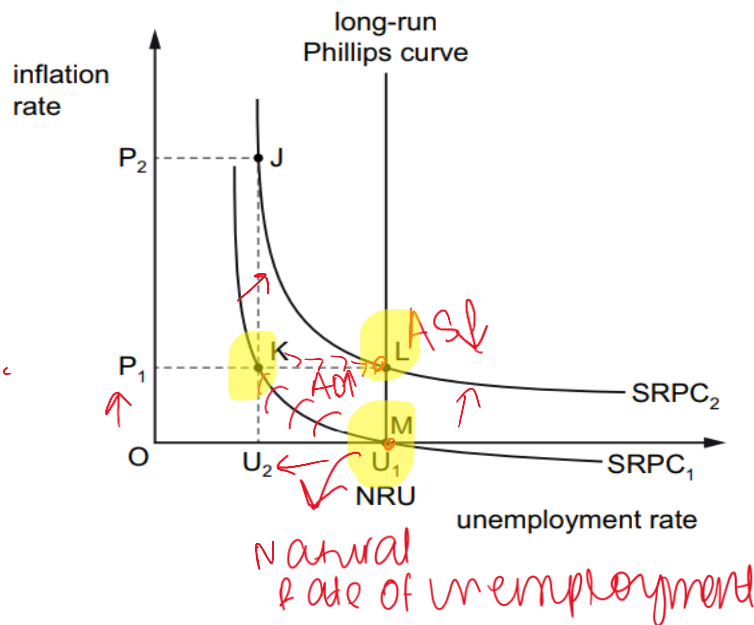
J → K → L is inaccurate because the economy starts at **M**, not J. J lies **below NRU**, which misrepresents the starting point.

Option B:

L → K → J implies that the economy **moves backward** toward lower unemployment, which is **not predicted** by Monetarist theory.

Option C:

M → K → J suggests that an economy **moves backward** toward lower unemployment, which is **not predicted** by Monetarist theory.



22-C:

Option C (Correct): A decrease in **indirect taxation** (like VAT or sales tax) lowers **production costs and prices**, as a result of which, Aggregate Supply increases, easing cost-push inflation. At the same time, it raises **real incomes**, stimulating Aggregate demand — useful in a recession.

Option A: Reducing **direct taxes** may increase disposable income but can **worsen inflation** by stimulating Aggregate demand further — undesirable when inflation is already high.

Option B: Reducing **government spending** decreases the aggregate demand and risks **recession**.

Option D: Lowering interest rates increases borrowing and consumption, also worsening demand pull inflationary pressure after increasing Aggregate demand — not ideal when inflation is already high.

23-D:

Option D (Correct): Withdrawing support for inefficient domestic industries actually **promotes globalization** by removing **protectionist barriers** and exposing firms to international competition. Globalization thrives on **market liberalization** and trade openness — this measure removes distortions that hinder global integration.

Option A: Fear of job loss due to immigration leads to **anti-globalization sentiments**, promoting nationalism and protectionism.

Option B: Political tensions (e.g., US-China trade war) **undermine global cooperation**, disrupting trade flows.

Option C: Stronger trade unions in import-competing sectors may demand tariffs or quotas to protect local jobs, **resisting global trade**.

24-A:

Option A (Correct): Limiting car licenses immediately **caps the number of vehicles**, directly targeting road congestion. This is **highly effective in the short run**.

Option B: Restricting family size is a **long-term demographic policy** and has no immediate impact on car usage or congestion.

Option C: Building new roads is a **long-run supply-side measure**. It might relieve congestion in the **long-run** temporarily but often leads to **induced demand** (more roads → more cars), eventually worsening congestion again.

Option D: Switching from diesel to electric cars reduces **emissions**, but does **not reduce the number of cars** — so congestion remains unaffected.

25-B:

Option B (Correct): A **depreciation** of the exchange rate makes **imports more expensive and exports cheaper**, leading to a switch in expenditure **from foreign to domestic goods**. This is known as an **expenditure-switching policy**, not an expenditure-reducing one.

Option A: A reduction in government spending directly **reduces aggregate demand**, lowering national income — a classic **expenditure-reducing** tool.

Option C: Increasing **direct taxes** (like income tax) lowers disposable income, hence reducing consumption — another **expenditure-reducing** policy.

Option D: Higher **interest rates** disincentivize borrowing and spending, again reducing aggregate demand — a typical **expenditure-reducing** measure.

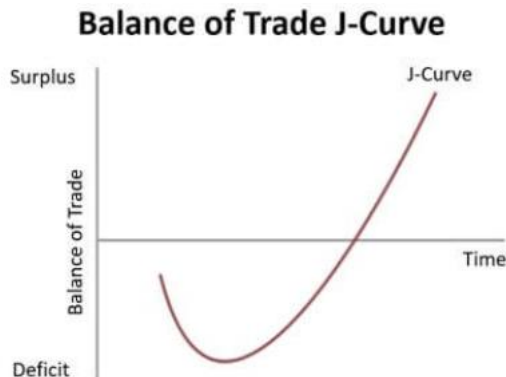
26-B:

The Marshall-Lerner condition, which states that a currency depreciation improves the trade balance if the sum of the export and import demand elasticities is greater than one, is relevant to the long-term outcome of the J-curve effect. It helps explain why the trade balance improves in the long run after the initial worsening.

The **J-curve effect** explains that after a **currency devaluation**, a country's **current account balance initially worsens** before improving. This happens because in the short run, the **price elasticities of demand for imports and exports are inelastic** — contracts are fixed, consumer

habits are sticky. So, the value of imports rises because while import prices have risen, their quantity demanded contracts by only a smaller percentage, while export revenue doesn't increase proportionally.

Over time, price of imports and exports becomes more elastic, and the trade balance improves — forming a curve shaped like a “J”.



Option A: This is the **Marshall-Lerner condition**, which states that devaluation will improve the current account if the sum of import and export elasticities > 1 — related, but not the J-curve itself.

Option C: In the short run, **demand is usually inelastic**, not elastic — hence why the current account worsens at first. This contradicts the J-curve logic.

Option D: The J-curve is not about how the value of the terms of trade will affect the success of a currency's devaluation.

27-C:

Option C (Correct): An increase in **multinational corporations (MNCs)** tends to stimulate **exports**, as these firms produce goods in various countries and sell them globally. They may also **use the host country as an export base**, leading to higher production and trade.

Option A: MNCs are typically at the forefront of **technology transfers**, not a cause of technological decline. Their entry often spurs domestic innovation.

Option B: MNCs **increase** foreign direct investment (FDI) by definition, as they invest in overseas markets to set up operations.

Option D: MNCs often **create jobs**, both directly and via supply chains — especially in developing countries. Rising unemployment would more likely result from automation or structural unemployment, not MNC growth.

28-A:

To estimate **standard of living**, economists use **GDP per capita** — GDP divided by population. For Bangladesh, with **GDP = \$206.7 billion** and **population = 153.5 million**, the per capita GDP is about **\$1,347**, the **lowest** among the listed countries. This implies **lower income per person** and, generally, a **lower standard of living**.

Country	GDP (Billion USD)	GDP (Million USD)	Population (Million)	GDP per Capita Calculation	Result (USD)
Bangladesh	206.7	$206.7 \times 1000 = 206,700$	153.5	$206,700 \div 153.5$	1,346
India	2,989.1	$2,989.1 \times 1000 = 2,989,100$	1147.9	$2,989,100 \div 1147.9$	2,605
Nigeria	292.7	$292.7 \times 1000 = 292,700$	138.3	$292,700 \div 138.3$	2,116
South Africa	467.1	$467.1 \times 1000 = 467,100$	43.8	$467,100 \div 43.8$	10,662

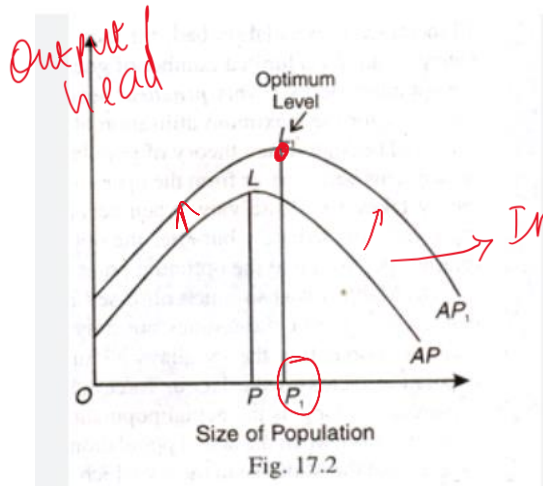
29-C:

The optimum population curve demonstrates the relationship between population size and per capita income. **It shows that there's a specific population size that maximizes per capita income, representing the "optimum population."**

Shift in the curve: Shifts in this curve can occur due to factors like technological advancements or changes in resource availability, leading to a shift of the optimum population curve upwards.

What does this mean? This indicates that a larger population can be supported.

Example: If there are **increases in stocks of capital** i.e. a country develops more efficient farming techniques, it can support a larger population without decreasing the average income per person. This would shift the optimum population curve to the right, meaning a higher population can be sustained.



Optimum population ↑ from P to P_1

Increases in
stocks of
capital

30-A:

Option A (Correct): The **Gini coefficient** measures **income inequality**: 0 = perfect equality, 100 = perfect inequality. Denmark has a Gini of **24.7**, France **32.7**. Since Denmark's value is **lower**, its income distribution is **more equal**. This matches what we expect from Nordic welfare states, which emphasize redistribution and universal services.

Option B: Namibia's Gini (74.3) is **higher** than Zambia's (50.4), meaning Namibia has **more inequality**, not less.

Option C: Income per capita **cannot be inferred from Gini alone** — a country could be very equal but very poor (or rich and unequal).

Option D: The **Gini coefficient does not measure absolute poverty**. It measures **relative inequality**, so we can't tell how many people are below the poverty line just from the Gini value.

